

BANKING & FINANCE

(145)

STATE – 2019

Multiple Choice:

Multiple Choice (30 @ 2 points each) _____ (60 points)

Production Problems:

Financial Word Problems (10 @ 2 points each) _____ (20 points)

Problem 1: Rule of 72 (5 @ 2 points each) _____ (10 points)

Problem 2: Compound Interest (12 @ 2 points each) _____ (24 points)

TOTAL POINTS _____ ***(114 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than sixty (60) minutes testing time

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MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. A *disadvantage* of an interest-bearing account is that _____.
 - a. it earns no interest
 - b. the minimum monthly balance requirement may be high
 - c. a fee is charged for each check processed
 - d. it is only available for senior citizens
2. Having two signatures on the back of a check before your name constitutes a _____.
 - a. blank endorsement
 - b. special endorsement or joint endorsement
 - c. restrictive endorsement
 - d. simple endorsement
3. An automated teller machine may be used to _____.
 - a. buy stock
 - b. reconcile an account
 - c. make a loan payment
 - d. purchase a cashier's check
4. A personal check that the bank certifies is genuine and there is enough funds to cover the check is a _____.
 - a. cashier's check
 - b. money order
 - c. certified check
 - d. EFT
5. Discount brokers _____.
 - a. are more expensive than full-service brokers
 - b. provide no advice
 - c. charge full brokerage rates
 - d. sell stocks but not bonds or other securities
6. Debit cards _____.
 - a. allow 30 days to pay for a purchase
 - b. allow immediate deductions from checking accounts
 - c. are the same as a credit card
 - d. charge a fee for every use
7. The easiest income tax form to use is Form _____.
 - a. 1040
 - b. 1040A
 - c. 1040EZ
 - d. W-2

8. Gross income *less* adjustments such as IRA contributions is called _____.
a. taxable income
b. adjusted gross income
c. disposable income
d. net income
9. The form showing money withheld by an employer for income and Social Security taxes is _____.
a. Form 1040
b. Form W-4
c. Form W-2
d. Form 1040X
10. Rent, car payment, and average utilities are classified as _____.
a. fixed expenses
b. variable expenses
c. surplus expenses
d. long-term liabilities
11. Money you have to spend after taxes and other deductions is called _____.
a. gross pay
b. regular pay
c. disposable income
d. taxable income
12. Assigning your voting right to someone else is known as a _____.
a. dividend
b. cumulative right
c. proxy
d. participating right
13. Which of the following is *not* an example of a long-term investing technique?
a. buy and hold
b. dollar-cost averaging
c. direct investment
d. short selling
14. How are stocks of well-known companies classified?
a. growth
b. blue chip
c. cyclical
d. defensive
15. When a bond sells for *more* than face value, it is called a _____.
a. discount
b. premium
c. convertible bond
d. revenue bond

16. A municipal bond backed by the power of the issuing government unit is called a(n)
- debenture
 - revenue bond
 - general obligation bond
 - agency bond
17. A type of mutual fund whose goal is to buy stocks that will *increase* in value over time is called a(n) _____.
- growth fund
 - income fund
 - balanced fund
 - bond fund
18. If liquidity is important, consider a _____.
- CD
 - bond
 - REIT
 - savings account
19. A retirement plan available to self-employed individuals is a(n) _____.
- IRS
 - Keogh
 - deferred annuity
 - public account
20. What legislation requires creditors to resolve billing errors within a specified period of time?
- Fair Credit Reporting Act
 - Equal Credit Opportunity Act
 - Fair Credit Billing Act
 - Fair Debt Collection Practices Act
21. Your FICO score is based on all but which of the following categories?
- payment history
 - amounts owed
 - marital status
 - amount of current debt
22. All of the following factors influence a person's credit score *except* _____.
- payment history
 - types of credit used
 - amount owed
 - marriage status

23. A loan wherein the borrower pledges property or assets to assure the creditor of payment is called _____.
a. pro-ration
b. secured loan
c. collateral
d. capital
24. Willful failure to pay taxes is called _____.
a. tax reduction
b. tax avoidance
c. tax evasion
d. voluntary compliance
25. Which of the following acts regulates the minimum wage?
a. Social Security Act
b. Fair Labors Act
c. Taft-Hartley Act
d. Fair Credit Reporting Act
26. The date on which a certificate of deposit is due is called the _____.
a. redemption date
b. beginning date
c. maturity date
d. ending date
27. An arrangement through which a person transfers assets to a trustee, who then oversees and manages the assets on behalf of the beneficiaries is known as a(n)
a. trust.
b. risk plan.
c. investment.
d. savings plans.
28. Medicare tax is paid by the _____.
a. employer
b. employee
c. employer and employee
d. non-profit business
29. A company that sells its stock openly in stock markets, where anyone can buy them, is a
a. sole proprietorship
b. public corporation
c. private corporation
d. partnership
30. Time deposits include all of the following *except* _____.
a. certificate of deposit
b. savings account
c. money market deposit account
d. checking account

FINANCIAL WORD PROBLEMS (10 @ 2 points = 20 points)

Compute the answer for each of the finance problems below, and record your answer on the line provided.

1. Allie will be purchasing a new home. In order to obtain a mortgage, she will need to make 12% down payment on the \$320,000 purchase price. She estimates her closing costs to be 4.5% of the purchase price.

(a) *How much is the down payment amount?* a _____

(b) *How much will Allie pay in closing costs?* b _____

(c) *What is the total amount Allie will need to secure her mortgage and close on her home?* c _____

2. Jeffrey Parker's credit card statement for the year showed a membership fee of \$85, two late fees of \$35 each, and an average finance charge of \$24.86 a month.

(a) *What was the total annual cost of the card to Jeffrey?* a _____

3. Samantha purchased a new car for \$32,800. She was charged an 8% sales tax on the purchase price. Samantha received a manufacturer's rebate of \$1,800 and paid registration costs of \$248. Her down payment is a trade-in worth \$6,700 for her old car.

(a) *What is the amount of sales tax Samantha will have to pay?* a _____

(b) *What is the delivered price of Samantha's new car?* b _____

(c) *How much is the balance due on Samantha's new car?* c _____

4. LeAnne bought 500 shares of stock for a total cost of \$10,340 and kept the stock for 5 years during which time she received quarterly dividends of \$0.88 per share. She sold the stock and received \$12,860 for the 500 shares.

(a) *What total dividends did LeAnne receive while she owned the stock?* a _____

(b) *What is LeAnne's capital gains/loss on the sale of the stock?* b _____

(c) *What is LeAnne's total gained from owning and selling the stock over the five years?* c _____

PROBLEM 1: Rule of 72 (5 @ 2 points = 10 points)

Using the Rule of 72, calculate how long each of the following investments will take to double in value. Round your answers to the nearest tenth of a year.

INVESTMENT	RATE OF RETURN	YEARS TO DOUBLE
CD	3%	
US Treasury Note	2.66%	
Common Stock	10%	
Money Market	1.70%	
Preferred Stock	6%	

PROBLEM 2: Compound Interest (12 @ 2 points = 24 points)

Jackson is going to deposit his \$8000 in a CD for four years. He will be earning 2% for four years compounded annually. Show Jackson how much money he will have at the end of each year and total interest earned. Round to the nearest cent.

YEAR	Beginning Balance	Interest	Ending Balance
YEAR 1			
YEAR 2			
YEAR 3			
YEAR 4			